Cross-regional fuel flows will avert shortages

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【メール原文】

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Fuel trading among high-demand regions will prevent near-term shortages

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China’s reduced crude imports are freeing up supply for other regions, minimizing the likelihood of shortages over the next two months.
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Emerging cross-regional trade flows are also helping to meet regional needs, including European naphtha to Asia, Nigerian gasoline to Europe, and Chinese shipping fuel to Singapore.
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Still, declining Chinese crude stocks and low European middle-distillate inventories could tighten markets heading into winter.

Global oil markets will avoid shortages over next two months as surplus fuels shift to areas of demand. While trade among regions doesn’t increase the volume of globally available fuel, it has so far helped avoid regional shortages despite the ongoing disruptions caused by the wars in Iran and Ukraine (see: Oil prices will fall even if Hormuz traffic only partially recovers , 13 August 2026).

China's import reduction has nearly offset the entire global crude supply-demand deficit. Compared to the period before the Iran war began, China is now importing about 4 million barrels per day (bpd) less of seaborne crude by drawing from its huge stockpiles, shutting down some refining capacity, and raising imports via pipeline (see: Beijing is likely to become the biggest variable in oil pricing , 29 June 2026). That 4 million bpd of reduced imports is almost exactly equivalent to the global crude supply versus demand deficit, allowing other importers such as Europe, India, and Japan to continue to access sufficient crude (see chart below).

New patterns of cross-regional fuel trade are beginning to resolve shortages across Asia and Europe. One example of shifting fuel supplies has been European naphtha moving to Northeast Asia (especially Japan, South Korea, and Taiwan). Stocks of the important petrochemical feedstock have surged at Europe’s main oil trading hub of Amsterdam-Rotterdam-Antwerp (ARA) thanks to increased imports of US shale crude. Around 250,000 metric tons of naphtha from ARA have been scheduled for shipping to Northeast Asia since May; Europe’s petrochemical demand is in decline amid single-use plastic restrictions that have left the region with spare refining capacity. These cargoes have helped alleviate a naphtha shortage in Northeast Asia that had started to impact supply of chemical goods like packaging during the second quarter.

Similarly, Nigerian exports of gasoline to Europe have surged to 155,000 metric tons since April, compared to near zero prior to the start of the war, as the large Dangote refinery in Lagos had surplus supply available for export. This helped avoid more serious bottlenecks during Europe's high fuel demand summer holiday season.

So far in August, China has scheduled almost 3 million metric tons of fuel exports across Asia, mostly of shipping fuel to Singapore but also of gasoline to Australia, addressing shortages there. The August surge came after Beijing previously restricted fuel exports to avoid domestic shortages, implying that China is currently sufficiently supplied with oil.

Current balance vulnerable to Chinese export restrictions and thin European distillate stocks. If China continues to burn through crude stocks amid ongoing Middle East supply disruptions, Beijing will likely again restrict fuel exports. In the US, declining fuel stocks have also led to speculation about export restrictions (though these have not materialized to date). And in Europe, stocks of middle distillates remain very low just as the next seasonal demand increase looms with the winter heating season.

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